THE $20K EV PICKUP TRUCK WITH CUSTOMIZATION?

11 Pages

5 min read

Medium

How SLATE Auto Could Make it Work!

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The Challenge: Price vs. Personalization

Problem: High EV costs + growing demand for usage optimization.

SLATE Auto's Goal: Sub-$28k customizable electric pickup/SUV.

Key Question: How do they achieve this without compromising quality or going bankrupt?

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Pillar I: Smart Manufacturing

Cost-cutting starts at the factory:

- **Modular Skateboard Platform:** Reduces complexity, scales easily.
- **Simplified Assembly (DFM):** Fewer parts, faster build times, lower labor cost.
- **Lean Production/Microfactories:** Lower initial CapEx, flexible scaling.
- **Cost-Effective Materials:** Standard steel, recycled plastics where feasible.

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Pillar 2: Strategic Battery Choices

Batteries are key to cost:

- **LFP Chemistry:** Using Lithium Iron Phosphate for base models = lower cost, longer life, safer (less range density).
- **Standardized Packs:** Economies of scale in sourcing & production.
- **Strategic Sourcing:** Long-term supplier deals (potentially domestic for credits) to lock in prices.

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Pillar 3: Lean Supply Chain & Logistics

Efficiency beyond the factory walls:

- **Supplier Consolidation:** Fewer, integrated partners for better pricing & collaboration.
- **Nearshoring:** Reducing shipping costs/times, mitigating geopolitical risk.
- **Direct-to-Consumer (DTC) Logistics:** Bypassing dealer markups (but requires investment in delivery/service).

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Pillar 4: Design & Engineering Philosophy

Building value smartly:

- **Software-Defined Features:** Base hardware + paid software unlocks (e.g., driver-assist, performance) = high-margin revenue post-sale.
- **Minimalist Base Model:** Hits the headline price; options drive profit.
- **Efficient Engineering:** Focus on essentials like good thermal management to maximize value.

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Pillar 5: Affordable Customization

How they offer choice without breaking the bank:

- **Focus:** Aesthetics (paint, wheels, trim) & software unlocks.
- **Limit:** Avoid costly hardware changes on the line.
- **Tools:** Digital configurators, batching similar builds.
- **Strategy:** Base price attracts, options & software generate profit.

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Pillar 6: Direct-to-Consumer Model

Disrupting the sales process:

- **Online Sales:** Eliminates traditional dealer margins.
- **Transparent Pricing:** No-haggle builds trust.
- **Direct Customer Relationship:** Control branding & experience.
- **Challenge:** Requires building service network & navigating state laws.

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The Financial Tightrope

Making the numbers work is important in such capital intensive industries:

- **Target BOM:** Aggressively low ($20k base).
- **Profit Source:** Thin on base model; relies heavily on options, software upgrades, and volume.
- **Funding:** Needs significant investment for CapEx & initial losses.

They key here will be relentless focus on unit economics & operational efficiency.

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Who is SLATE Auto EV Targeting?

- Make in America advocates
- Price-sensitive EV adopters.
- Younger buyers valuing tech, personalization & DTC.
- Urban/suburban commuters needing adequate range.
- Second car market (not second-hand).
- Design-conscious consumers wanting affordable style.

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Unique Risks & Realities

What are some of the challenges SLATE Auto faces/might face:

- **Customization-at-Scale Balancing Act**
- **First Mover in Affordable-Custom Category**
- **Customer Expectations Management**
- **Direct-to-Consumer Education Burden**
- **Software Development Amortization Risk**

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Take a moment to reflect...

Key takeaways from the SLATE Auto's startup model:

- **Unit economics are king.**
- **Modular platforms enable scale.**
- **Software = margin potential.**
- **Know your niche deeply.**
- **Lean operations are crucial.**
- **DTC requires careful planning.**

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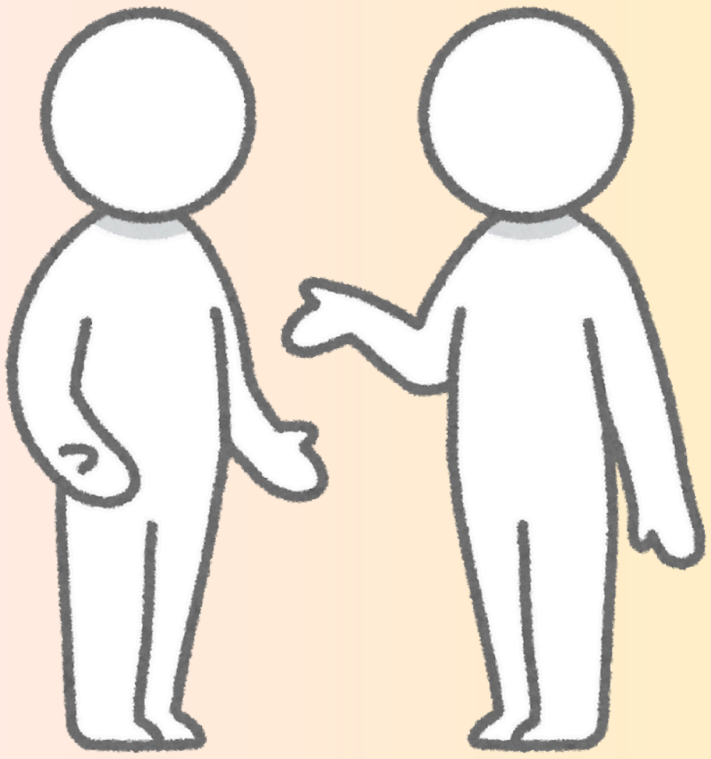
Rise.



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